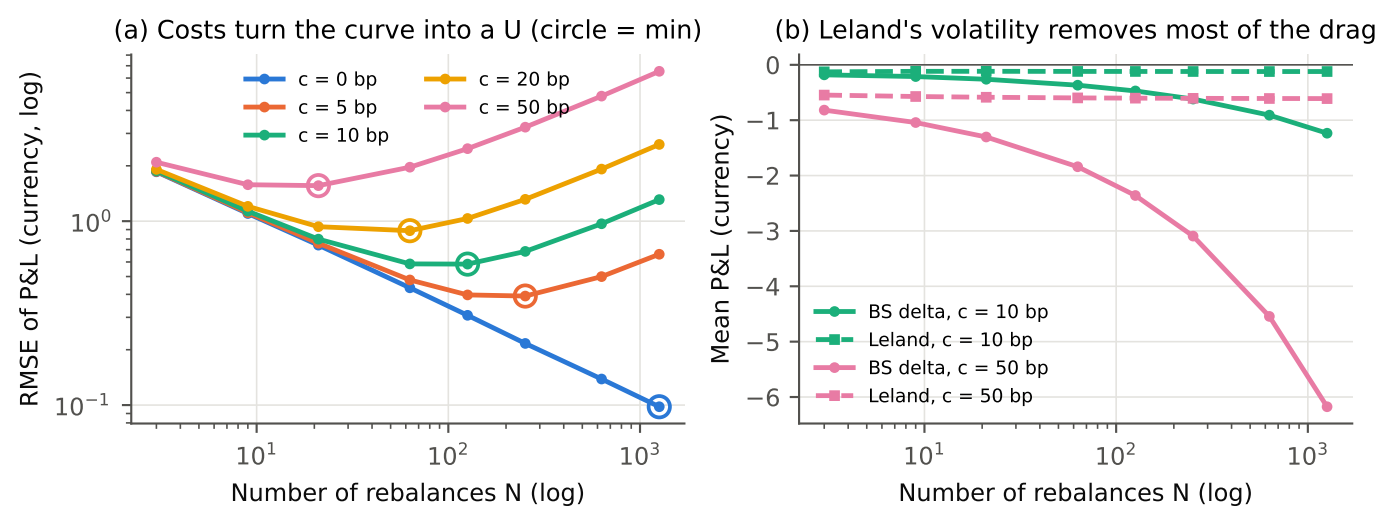
(a) Costs turn the curve into a U (circle = min)
c = 0 bp
c = 5 bp
c = 10 bp
c = 20 bp
c = 50 bp
RMSE of P&L (currency, log)
10^{0}
10^{-1}
10^{1}
10^{2}
10^{3}
Number of rebalances N (log)
(b) Leland's volatility removes most of the drag
Mean P&L (currency)
0
−1
−2
−3
−4
−5
−6
BS delta, c = 10 bp
Leland, c = 10 bp
BS delta, c = 50 bp
Leland, c = 50 bp
10^{1}
10^{2}
10^{3}
Number of rebalances N (log)